# Practice workbook · Why businesses charge depreciation

The purpose of depreciation, spreading cost over the years that benefit, explained through the accruals (matching) and prudence concepts.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ADJ-02

# 1. Question 18 · part d · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part d only.

**18** On 1 May 2023 Alex owed wages of $1 580, and had paid wages in advance of $920

During the year ended 30 April 2024 Alex paid wages of $87 900

On 30 April 2024 Alex owed wages of $4 230

(a) Prepare the wages account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

**(5)**

**Wages Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
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# 1. Question 18 · part d · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part d only.

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On 1 May 2023 Alex had received rent in advance of $800 from his tenant.

During the year ended 30 April 2024 Alex received rent of $7 800

On 30 April 2024 Alex had received rent in advance of $1 300

(b) Prepare the rent receivable account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(4)

**Rent Receivable Account**

| Date | Details | $ | Date | Details | $ |
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# 1. Question 18 · part d · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part d only.

On 1 May 2023 the balance on the motor vehicles cost account was $172 000 and the balance on the motor vehicles provision for depreciation account was $85 000

On 30 September 2023 Alex sold a motor vehicle for $16 000 and received a bank transfer in full settlement.

This motor vehicle had been purchased on 31 March 2022 for $36 000 and had a residual value of $8 000

Alex depreciates motor vehicles at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Prepare the motor vehicles – provision for depreciation account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(4)

**Motor Vehicles – Provision for Depreciation Account**

| Date | Details | $ | Date | Details | $ |
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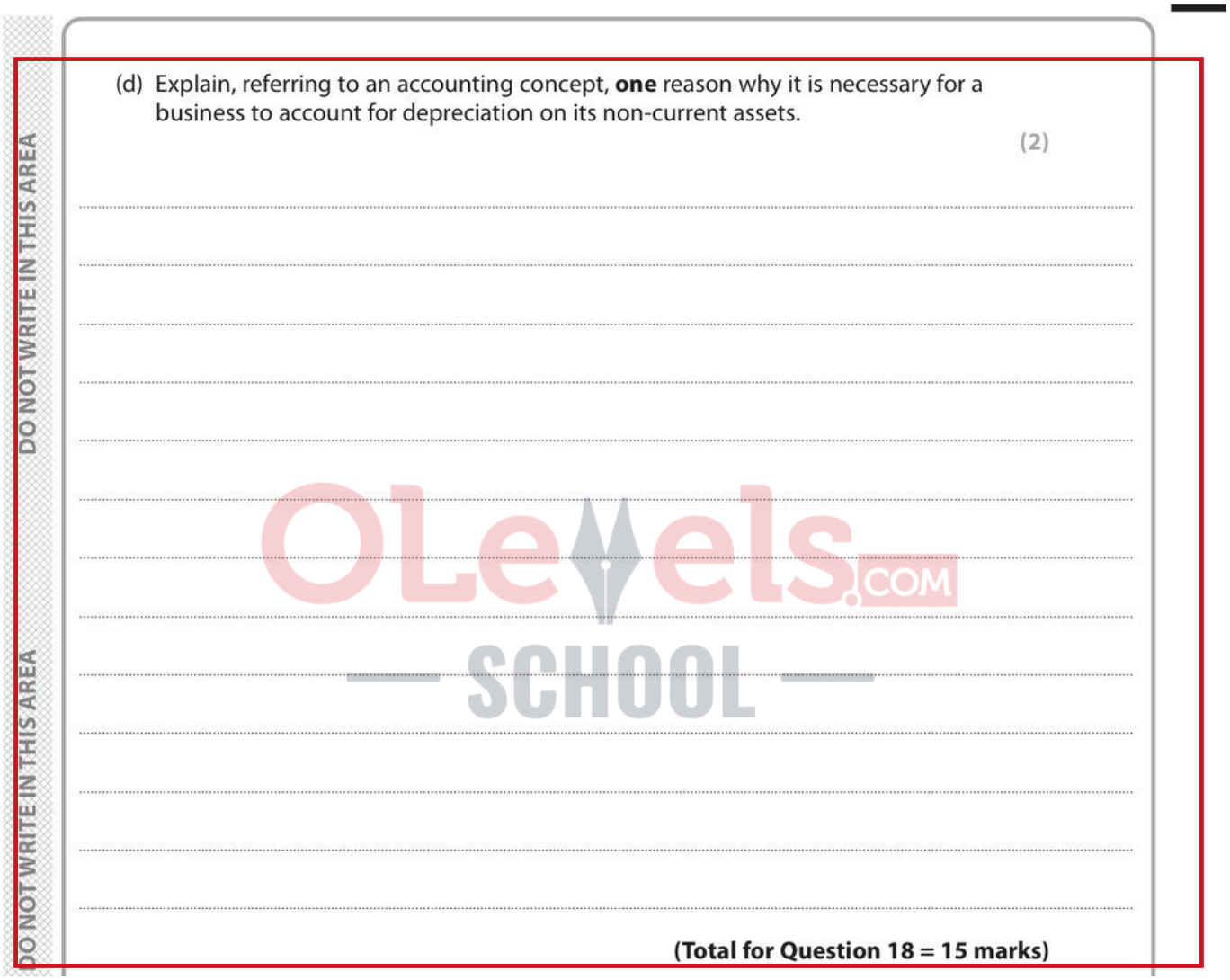
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# 1. Question 18 · part d · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part d only.



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(d) Explain, referring to an accounting concept, **one** reason why it is necessary for a business to account for depreciation on its non-current assets.

**(2)**

**(Total for Question 18 = 15 marks)**

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## 1. Question 18 · part d · 2 marks · Working and answer

Working and answer

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## 2. Question 18 · part e · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

**18** (a) State **two** factors that cause the value of non-current assets to depreciate.

**(2)**

1 .....

2 .....

(b) Define **each** of the following terms.

**(4)**

Capital expenditure

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Revenue expenditure

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On 1 January 2023 a trader owned a motor vehicle, cost $20 000, with depreciation to date of $8 000

(c) Calculate the depreciation charge for the year ended 31 December 2023 using the:

(i) straight line method of depreciation at 20% per annum

**(1)**

.....

(ii) reducing balance method of depreciation at 20% per annum.

**(1)**

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## 2. Question 18 · part e · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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On 1 January 2022 Wang purchased machinery at a cost of $60 000. He intended to use the machinery for five years and estimated that the machinery would have a scrap value of $10 000

(d) Prepare the machinery – provision for depreciation account for the years ended 31 December 2022 and 31 December 2023 using the **reducing balance** method of depreciation at a rate of 20% per annum.

(5)

**Machinery – Provision for Depreciation Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
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(e) Explain **one** reason why the accruals concept applies when depreciating non-current assets.

(2)

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**(Total for Question 18 = 15 marks)**

## 2. Question 18 · part e · 2 marks · Working and answer

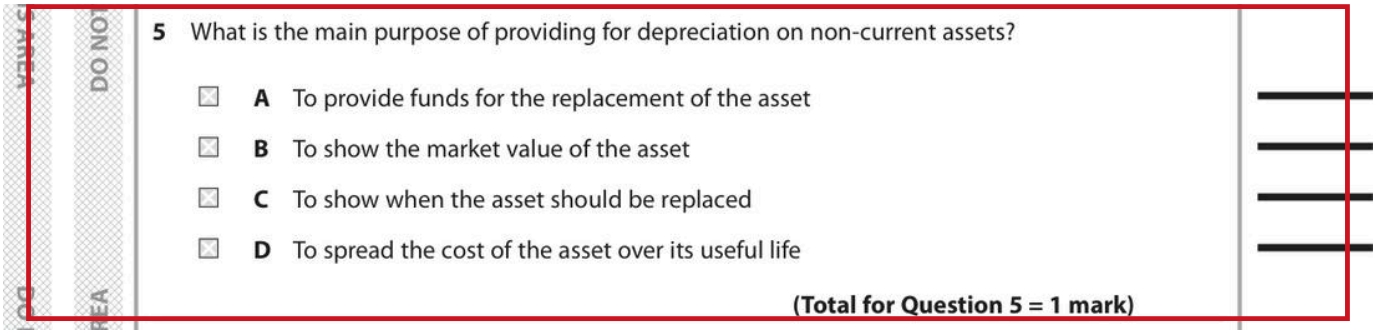
Working and answer

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## 3. Question 5 · part whole · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.



**5** What is the main purpose of providing for depreciation on non-current assets?

- ☒ **A** To provide funds for the replacement of the asset
- ☒ **B** To show the market value of the asset
- ☒ **C** To show when the asset should be replaced
- ☒ **D** To spread the cost of the asset over its useful life

**(Total for Question 5 = 1 mark)**

Working and answer

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## 4. Question 6 · part whole · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part whole only.

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**6** Identify the main purpose of providing depreciation on non-current assets.

- ☒ **A** To know the profit or loss on disposal
- ☒ **B** To provide funds for the replacement of the asset
- ☒ **C** To show the market value of the asset
- ☒ **D** To spread the cost of the asset over its useful life

**(Total for Question 6 = 1 mark)**

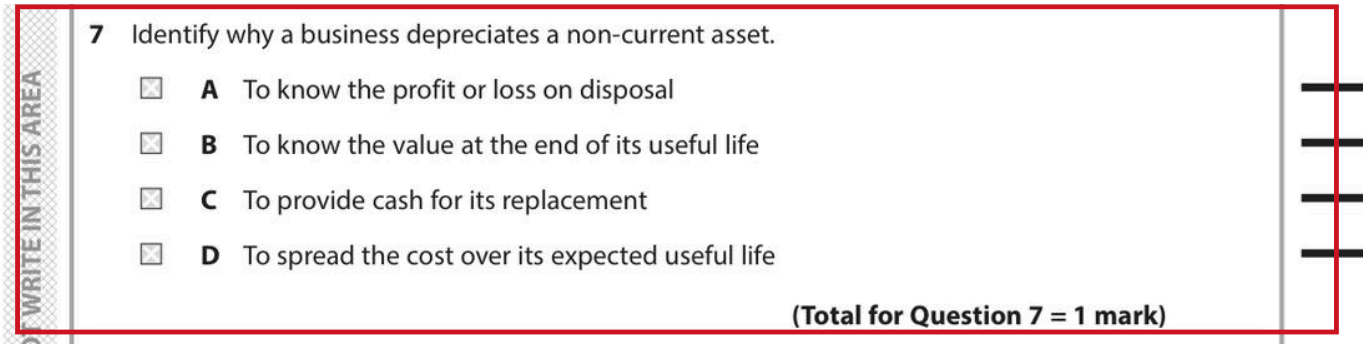
Working and answer

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## 5. Question 7 · part whole · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part whole only.



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**7** Identify why a business depreciates a non-current asset.

- ☒ **A** To know the profit or loss on disposal
- ☒ **B** To know the value at the end of its useful life
- ☒ **C** To provide cash for its replacement
- ☒ **D** To spread the cost over its expected useful life

**(Total for Question 7 = 1 mark)**

Working and answer

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# 6. Question 6 · part whole · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part whole only.

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**6** Why does a business depreciate a non-current asset?

- ☒ **A** To know the profit or loss on disposal
- ☒ **B** To know the value at the end of its useful life
- ☒ **C** To provide cash for its replacement
- ☒ **D** To spread the cost over its useful life

**(Total for Question 6 = 1 mark)**

Working and answer

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## 7. Question 8 · part whole · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part whole only.

**8** Which one is a reason for a business to depreciate a non-current asset?

- ☒ **A** To know the profit or loss on disposal
- ☒ **B** To know the value at the end of its useful life
- ☒ **C** To provide cash for its replacement
- ☒ **D** To spread the cost over its expected useful life

**(Total for Question 8 = 1 mark)**

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Working and answer

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## 8. Question 18 · part a · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part a only.

**18** (a) Explain **one** reason why it is necessary to provide for depreciation on non-current assets.

**(2)**

On 1 January 2022 the balance on the motor vehicles cost account was $76 600

On 1 March 2022 a motor vehicle was sold for $12 000, payment being received by cheque. This motor vehicle was originally purchased on 1 January 2020 for $18 000

On 1 June 2022 a new motor vehicle was purchased costing $21 500, paid for by cheque.

Motor vehicles are depreciated at 25% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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## 8. Question 18 · part a · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part a only.

(b) Prepare the following accounts for the year ended 31 December 2022.

(9)

**Motor Vehicles – Cost Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
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**Disposal Account**

| Date | Details | $ | Date | Details | $ |
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Turn over

## 8. Question 18 · part a · 2 marks · Working and answer

Working and answer

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## 9. Question 2 · part c.ii · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.ii only.

**2** Ali provides consultancy services to local businesses.
He provided the following information.

| | At 1 May 2021 $ | At 30 April 2022 $ |
|---|---|---|
| Motor vehicle – Cost | 34 000 | To be calculated |
| Motor vehicle – Provision for depreciation | 12 000 | |
| Provision for irrecoverable debts | 140 | |
| Equity | 17 100 | |
| Bank loan | 2 500 | 1 800 |
| Bank overdraft | 5 140 | 2 060 |
| Other payables – wages | 210 | – |
| Other payables – fuel | 310 | 480 |
| Trade receivables – income owing | 2 800 | 3 270 |
| Other receivables – office rent and rates | 600 | 1 200 |
| Other receivables – insurance | – | 110 |

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**During the year ended 30 April 2022**

- Total income received was $71 690
- Ali took total drawings of $35 350
- The following payments were made:
  - wages $15 920
  - fuel $8 140
  - insurance $660
  - office rent and rates $7 800
  - bank loan and interest repayments $740

**Additional information**

- The motor vehicle is depreciated using the straight line method over five years. The estimated residual value of the motor vehicle at the end of year five is $4 000
- At 30 April 2022, income owing to Ali of $3 270 included an irrecoverable debt of $70
- Ali wishes to maintain a provision for irrecoverable debts of 5% of trade receivables.
- The balance on the bank loan is repayable in 2024.

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## 9. Question 2 · part c.ii · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.ii only.

(a) Prepare the income statement for the year ended 30 April 2022.

**(12)**

**Ali**
**Income statement for the year ended 30 April 2022**

| | $ | $ |
|---|---|---|
| Income | | |
| Wages | | |
| Fuel | | |
| Insurance | | |
| Depreciation | | |
| Office rent and rates | | |
| Irrecoverable debts | | |
| Provision for irrecoverable debts | | |
| Bank interest | | |
| Profit for the year | | |

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# 9. Question 2 · part c.ii · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.ii only.

(b) Prepare the statement of financial position at 30 April 2022.

(8)

**Ali**
**Statement of financial position at 30 April 2022**

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# 9. Question 2 · part c.ii · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.ii only.

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(c) (i) Explain why the **prudence** concept should be applied when writing off an irrecoverable debt.

**(3)**

(ii) Explain why the **accruals** concept should be applied when providing for depreciation of a motor vehicle.

**(2)**

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**(Total for Question 2 = 25 marks)**

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## 9. Question 2 · part c.ii · 2 marks · Working and answer

Working and answer

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